

LEGEND™ LEGACY PROTECTION

Variable Annuities — Educational Planning Guide (Securities Product)

A variable annuity is a long-term contract issued by an insurance company that can provide tax-deferred growth and optional insurance features, while the account value and/or income may fluctuate based on the performance of chosen investment options (often called “subaccounts”). Variable annuities are securities products and are generally regulated by the SEC and FINRA in addition to state insurance regulators.

What “Variable” Means

- Investment risk: Your contract value can go up or down based on the performance of the selected investment options.
- Subaccounts: Many variable annuities offer a menu of investment options similar in concept to mutual funds (availability varies by contract).
- Hybrid structure: Variable annuities combine investment features with insurance features (such as death benefits or optional income riders, if elected).

How Variable Annuities Are Commonly Structured

- Accumulation phase: Money is allocated among investment options; performance affects contract value.
- Distribution phase: You may take withdrawals, start a rider-based income stream (if available/elected), or annuitize into a payment option (terms vary).
- Contract limitations: Surrender schedules and withdrawal rules may apply, especially in early years.

Potential Benefits (Depends on Contract and Use Case)

- Tax-deferred growth: Earnings generally are not taxed until withdrawn (tax rules differ for qualified vs non-qualified funds).
- Income planning options: Some contracts can be converted into periodic payments (annuitization) and some may offer optional guaranteed living benefit riders (for an additional cost, if offered).
- Death benefit features: Many contracts include a death benefit; enhancements may be available for an additional cost (if offered).
- Investment allocation flexibility: Ability to allocate across different investment options within the contract (subject to contract rules).

Costs & Fees to Understand (Read the Prospectus)

- Insurance charges: Many variable annuities assess mortality & expense risk charges and administrative fees (names and amounts vary).
- Investment option expenses: Underlying investment options have their own expenses (like fund management fees).
- Sales charges/commissions: Compensation structures vary by product and distribution channel.
- Surrender charges: Withdrawing more than permitted amounts during the surrender period can trigger charges.
- Rider charges: Optional riders (e.g., income or enhanced death benefits) typically cost extra and may reduce overall performance.

Tax Treatment (General Education)

- Non-qualified variable annuities: Earnings are generally taxed as ordinary income when withdrawn; distributions may be subject to a 10% additional federal tax before age 59½ on the taxable portion (exceptions may apply).
- Qualified money (IRA/401(k) rollovers): Tax deferral already exists inside the retirement account; the annuity may not provide additional tax benefits, and RMD rules generally still apply based on the retirement account rules.
- Withdrawals vs annuitization: Taxation depends on how distributions are taken; contract and tax rules apply.

Key Risks & Limitations

- Market risk: Contract value can decline, including losses of principal.
- Complexity: Terms, riders, and income calculations can be complex; illustrations are not guarantees unless stated in the contract.
- Liquidity constraints: Surrender periods and withdrawal limits can restrict access to funds.
- Fee drag: Total costs can be significant; fees can reduce long-term performance.
- Insurer credit risk: Guarantees (if any) depend on the insurer's claims-paying ability.

When It May Fit vs. When It Usually Does NOT Fit

When It May Fit	When It Usually Does NOT Fit
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• You need a long-term strategy and understand market risk • You value tax deferral on non-qualified assets and plan to hold long-term • You want optional insurance features (and understand the added cost) • You can tolerate complexity and are willing to read/understand the prospectus	• You need near-term liquidity or a short time horizon • You are highly fee-sensitive and prefer low-cost investment vehicles • You want simple products with transparent pricing and flexibility • You are using qualified retirement money solely for tax deferral
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What to Review Before Purchasing (Education Checklist)

- Prospectus and fee table: Understand ongoing fees, rider charges, and investment option expenses.
- Surrender schedule and liquidity rules: Know what's "free" and what triggers charges.
- Rider terms (if elected): How income is calculated, conditions, step-ups/roll-ups, and limitations.
- Investment options and risk: What you are investing in and how allocation changes can occur.
- Tax considerations: How withdrawals will be taxed and how age-based penalties can apply.
- Conflicts/compensation: Ask how the professional is compensated and whether alternatives were considered.

DISCLOSURE: This guide is for educational purposes only and is not investment, tax, or legal advice; not an offer to buy or sell any security; and not a recommendation of any specific product, carrier, or investment option. Variable annuities are securities products with investment risk, including possible loss of principal. Investment performance and account value are not guaranteed and will fluctuate based on the performance of the selected investment options. Any optional insurance features or contractual benefits, if elected, are subject to the terms of the contract and the claims-paying ability of the issuing insurance company. Product features, riders, fees, surrender schedules, and availability vary by insurer and state and are described in the prospectus and contract. Before purchasing, obtain and read the prospectus and applicable contract documents carefully.